



THE RETAIL LENDING BURDEN

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RETAIL LOAN DEMAND HAS BOOMED AFTER COVID-19, THANKS TO FINTECH FIRMS THAT CAN SERVE CONSUMERS REMOTELY. BANKS AND NBFCs HAVEN'T BEEN FAR BEHIND IN THE DIGITAL SHIFT. HOWEVER, THE SURGE IN UNSECURED LOANS POSES THE RISK OF OVER-LEVERAGING, AND PRESSURE IS MOUNTING



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RISING DEBT

Many young individuals have fallen into the trap of overspending, which increases tension and anxiety, especially when they are unable to pay back their debt

YOUTH-DRIVEN DEMAND

Nearly 40 per cent of retail loan demand comes from customers aged between 18 and 30 years. Given that more than half of India's population is under 30, this could pose a significant challenge

CAUTION NEEDED

Despite growth in retail lending, there are warning signs of increasing delinquencies and concerns about concentration in retail loans becoming a systemic risk. It is crucial for lenders—including fintechs, NBFCs, and banks—to exercise caution